KHRUSHCHEV WAS "REALLY MAD," RECALLED JOHN J. MCCLOY, Kennedy's chief negotiator on disarmament, who visited Khrushchev in late July 1961 at the Black Sea resort of Pitsunda. Khrushchev called Kennedy's speech a "preliminary declaration of war." He threatened to sign his peace treaty with Germany no matter what and warned that there would be no small war —it would be nuclear.[21]

For Khrushchev, Kennedy's bellicose speech and the military buildup he had just announced suggested that his psychological attack on Kennedy in Vienna had not produced the desired results. It looked as if a weak president intimidated at a summit submitted to manipulation by his advisers upon his return home. For Khrushchev, who prided himself on having helped to elect Kennedy, that was quite a disappointment. "Look, we helped elect Kennedy last year," Khrushchev told a group of officials and scientists on July 10, 1961. "Then we met with him in Vienna, a meeting that could have been a turning point. But what does he say? 'Don't ask for too much. Don't put me in a bind. If I make too many concessions, I'll be turned out of office.' Quite a guy! He comes to a meeting but can't perform. What the hell do we need a guy like that for? Why waste time talking to him?" If that was Khrushchev's view on July 10, then Kennedy's speech of July 25 could only have deepened his pessimism.[22]

Khrushchev needed a solution to the Berlin crisis that would not involve the threatened peace treaty with East Germany, the loss of American access rights, and a possible military confrontation. Such a scenario might lead to thermonuclear war, perhaps more easily with a weak president than with a strong one. Khrushchev knew that he had nothing with which to counter Kennedy: the "missile gap" actually favored the United States, and he had no additional funds for his military to match Kennedy's unprecedented buildup. Nor could he wait any longer to solve his Berlin problem, as East Germans, attracted by higher living standards in the West, were leaving the German socialist paradise in ever greater numbers. They could easily do so through West Berlin, since there was free movement between the Allied and Soviet sectors of the city. In June 1961, 19,000 people used the Berlin loophole in the Iron Curtain to go west; in July, 30,000 did so. The total for the seven months of that year alone was 130,000.